Kinross Hale Valuers

Property valuation and advisory

Independent Valuation
The Wharf Residences

18 Riverside Road, East Fremantle WA 6158: 96-apartment residential development, valuation for mortgag

Prepared for Quillwood Credit Partners

Valuation date: 8 March 2024

Version 1.0 (Final)

Kinross Hale Valuers (Perth)

Reference: KHV-PER-2024-0317-V1

Date: 8 March 2024

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Borrower	The Wharf Residences Pty Ltd
ABN	18 209 165 833
Property	18 Riverside Road, East Fremantle WA 6158
Site area	4,200 square metres (river-fronting)
Proposed improvements	96 apartments, six storeys, two basement levels (138 bays)
Date of valuation	8 March 2024
Date of inspection	1 March 2024
Basis of value	Market Value, as-is and as-if-complete, exclusive of GST
Prepared for	Quillwood Credit Partners
Prepared by	Kinross Hale Valuers (Perth)
Version	1.0 (Final)

Valuation details

1. Executive summary and valuation conclusion

Kinross Hale Valuers has been instructed by Quillwood Credit Partners (Quillwood) to provide an independent valuation of the land and proposed development at 18 Riverside Road, East Fremantle, for first mortgage security purposes. The borrower is The Wharf Residences Pty Ltd, a single-purpose vehicle established by Wharfside Developments Pty Ltd and related entities (the Wharfside Group). Quillwood is considering a senior secured construction facility with a limit of A$61.0M and a tenor of 27 months.

The property is a 4,200 square metre river-fronting site with development approval for a 96-apartment, six-storey building. The project has a gross floor area of approximately 12,650 square metres and a net saleable area of approximately 8,900 square metres. Construction is to be carried out by Corvale Construction Pty Ltd under a fixed-price design and construct contract of A$74.6M.

Having regard to the matters set out in this report, we assess the Market Value of the property, subject to the assumptions and qualifications in Section 14, as follows.

Basis	Value (A$M)	Comment
Market Value, as-is (land with approval)	14.5	Vacant site, DA granted
Market Value, as-if-complete (GRV)	124.8	96 apartments, average A$1.30M
Less selling and agency costs	3.1	About 2.5% of GRV
Net realisation	121.7	Before finance and construction
Total development cost (TDC)	100.0	Includes land at A$14.5M
Forecast net profit before tax	21.7	21.0% on total cost incl. selling

Valuation summary

On the as-if-complete value, the proposed A$61.0M facility represents a loan to value ratio (LVR) of 48.9% and a loan to cost ratio (LTC) of 61.0% against TDC of A$100.0M. Sponsor equity of A$39.0M funds the balance of TDC. Contracted presales of 60 apartments (62.5% by number and by value) have a contract value of approximately A$78.0M, which is 1.28 times the facility limit.

Our principal conclusions are as follows.

- The as-is value of A$14.5M is supported by the direct comparison and residual methods, and is A$1.3M above the March 2022 acquisition price of A$13.2M, reflecting the development approval granted in August 2023.

- The as-if-complete value of A$124.8M equates to approximately A$14,022 per square metre of net saleable area. This is at the upper end of the market evidence we have considered and should be regarded as demanding rather than conservative.
- The security is well covered at the stated LVR. The LVR remains at or below 61.1% if the as-if-complete value falls by 20%, which is a wider margin than the pricing risk we would expect over the programme.
- Completion and settlement risk, rather than land value, is the main driver of recovery risk. These are addressed in Section 12.

2. Instructions and scope

2.1 Purpose and reliance

This valuation has been prepared for the exclusive use of Quillwood for the purpose of assessing first mortgage security for the proposed construction facility. Neither the whole nor any part of this report may be relied on by any other party without our written consent. We accept no liability to any third party.

2.2 Proposed facility

We understand the proposed facility is a senior secured, cost-to-complete construction facility with a separate interest and fee capitalisation allowance. The limit is A$61.0M and the tenor is 27 months, with first drawdown targeted for June 2024 and maturity in September 2026. The funds are to be applied to hard construction costs, professional fees, approvals and capitalised finance costs. Land and initial costs have been funded by sponsor equity. Indicative pricing is 1-month BBSW plus 6.25% per annum, a 1.75% establishment fee, a 1.00% per annum line fee on undrawn commitments and a 0.50% exit fee on repayment after the scheduled maturity date, subject to credit approval. Repayment is to come from net settlement proceeds of apartment sales.

2.3 Information relied on

- Information Memorandum dated 12 February 2024, including the project description, programme and development budget.
- Financial statements of the borrower dated 23 February 2024. The borrower has no operating revenue before settlement.
- The development approval issued by the Metropolitan Joint Development Assessment Panel on 24 August 2023 and approved plans.
- The presales schedule and contract summary provided by Harbourline Property Group as at 29 February 2024.
- The Corvale Construction Pty Ltd contract sum of A$74.6M and the borrower's cost plan.
- Our own market research and inspection of the site on 1 March 2024.

The independent quantity surveyor appointed for Quillwood, Pellegrini Dunmore Quantity Surveyors, has not yet reported. Our cost assessment therefore relies on the contract sum and the borrower's cost plan. If the quantity surveyor's report identifies material variances from the budget, we recommend this valuation be reviewed. We have not searched title and have assumed the property is free of encumbrances other than those usual for a site of this type. Quillwood's solicitors should confirm title, easements and any river-related restrictions.

2.4 Standards

The valuation has been prepared in accordance with the Australian Property Institute Valuation and Property Standards and the International Valuation Standards. Market Value is defined as the estimated amount for which an asset should exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction, after proper marketing, where the parties had each acted knowledgeably, prudently and without compulsion.

3. The property

3.1 Location and site

The site is on Riverside Road, East Fremantle, with frontage to the Swan River. It is about two kilometres from the Fremantle town centre and the Fremantle railway station. The site area is 4,200 square metres. At inspection the site was cleared and level, and bulk excavation had not commenced. Surrounding development is a mix of low and mid-rise residential buildings, older single dwellings and river reserve. Access, services and public transport are typical for an established inner-ring riverside suburb.

3.2 Ownership and history

The site was acquired on 17 March 2022 by a Wharfside-owned entity for A$13.2M and later transferred to The Wharf Residences Pty Ltd. Development approval was granted on 24 August 2023. The sales campaign launched on 4 November 2023 from the onsite display suite, and 24 contracts were exchanged in the first eight weeks. Presales reached 60 of 96 apartments on 29 February 2024.

3.3 Planning and environmental

The Metropolitan Joint Development Assessment Panel approved a 96-unit, six-storey residential building. We have assumed that all conditions of approval can be satisfied in the ordinary course and that the approval will not lapse before substantial commencement. The river-fronting location means works must comply with Department of Water and Environmental Regulation conditions, including acid sulfate soil and groundwater management during basement excavation. We are not environmental consultants and have not tested the site. Our value assumes there is no contamination beyond what is addressed in the approved management plans.

4. The proposed development

The building comprises 96 one, two and three bedroom apartments over six storeys, with two basement levels providing 138 car bays. Communal facilities include a rooftop terrace and a boat-owner storage area. The indicative mix, rounded from the approved plans and the Information Memorandum, is shown below.

Type	Units	Avg NSA (sqm)	Avg price (A$M)	Total (A$M)
One bedroom	20	60	0.84	16.8
Two bedroom	52	90	1.26	65.5
Three bedroom	24	126	1.77	42.5
Total	**96**	**8,904**	**1.30**	**124.8**

Indicative apartment mix and gross realisation value (the 8,904 sqm total is the sum of rounded averages and agrees with the stated 8,900 sqm NSA)

The parking ratio is 1.44 bays per apartment, which is adequate for the mix and in line with buyer expectations for riverside product in this location. The boat-owner storage area is uncommon in the local market and we regard it as a modest point of difference rather than a driver of value.

5. Market overview

The Fremantle and East Fremantle apartment market has benefited from strong Perth population growth, tight rental vacancy and limited new supply. Construction cost escalation and builder failures have constrained the number of projects reaching start, which has supported prices for new stock. Owner-occupiers, including downsizers, are the primary buyers of riverside product, with investors a secondary group.

The market is rate sensitive. Higher mortgage rates and tighter serviceability assessments reduce the borrowing capacity of buyers, and this matters most at price points above A$1.0M, where the buyer pool is thinner and more reliant on equity from existing property. Most recent apartment sales in East Fremantle have been in lower price brackets than the subject's average of A$1.30M. Evidence for comparable riverfront product is therefore drawn from adjoining suburbs.

6. Valuation methodology

We have adopted the following approaches.

- Direct comparison, on a rate per square metre of net saleable area and an apartment-by-apartment basis, to assess the as-if-complete value.
- Hypothetical development (residual) analysis, to assess the as-is value of the land and test the reasonableness of the project margin.
- Direct comparison of englobo land sales as a cross-check on the as-is value.

Values are expressed exclusive of GST. We have assumed the project will be sold under the margin scheme where available and that this is reflected in the borrower's feasibility.

7. Market Value as-if-complete

7.1 Market evidence

The table below summarises the principal sales evidence considered. Rates are for new or near-new stock and are adjusted for size, view and amenity.

Property	Period	Rate (A$/sqm)	Comment
Edgewater Apartments, East Fremantle	Q2 2023	12,400	No river frontage
Tidal House, Fremantle	Q4 2023	13,100	Harbour outlook
Harbour Quay Residences, North Fremantle	Q3 2023	13,900	River views
Swan Terrace, Applecross	Q1 2024	14,300	River-fronting, premium suburb

Sales evidence considered (rates on net saleable area)

The subject's adopted rate of about A$14,022 per square metre is above all East Fremantle and Fremantle evidence and within the range of the river-fronting evidence in adjoining suburbs. We consider a premium to non-river evidence is warranted for the river frontage, new construction, communal amenity and boat storage. However, we regard the adopted rate as being at the upper end of what the evidence supports, and a sale of the unsold stock at lower rates is a realistic outcome.

7.2 Presales as evidence

The 60 presales have an average contract price consistent with the A$1.30M average adopted for the whole building. This is relevant evidence of buyer acceptance at the adopted pricing, but presale contracts are not arm's length completed sales on the valuation date. They are exposed to settlement risk, and buyers may seek to renegotiate if bank valuations at settlement come in below contract. We have therefore given presales weight as supporting evidence only.

7.3 Conclusion

We assess the Market Value as-if-complete at A$124,800,000, being the sum of the individual apartment values in the table in Section 4. This assumes practical completion to the approved plans and specifications, orderly marketing of unsold stock and no material change in market conditions.

8. Market Value as-is

The as-is value reflects vacant land with development approval for 96 apartments. The residual method deducts selling costs, construction costs, other development costs and finance from net realisation, then allows for developer margin. Finance costs are held at A$5.7M across the scenarios for simplicity.

Target margin on cost	Total cost (A$M)	Residual land (A$M)
15%	105.8	20.3
20%	101.4	15.9
25%	97.4	11.9

Residual land value sensitivity (net realisation A$121.7M; construction A$74.6M; other costs A$5.2M; finance A$5.7M)

The adopted land value of A$14.5M sits between the 20% and 25% margin outcomes. This is appropriate given a market-tested margin of 20% or more is typical for projects with moderate presale cover. Englobo sales of approved residential sites in the Fremantle area also support a rate in this range once adjusted for the river frontage and the approval. We adopt A$14,500,000 as the Market Value as-is.

9. Development cost and feasibility

The borrower's budget is summarised below. We have not verified construction costs, which will be reviewed by Pellegrini Dunmore. The Corvale contract sum has been taken as stated.

Item	A$M	% of TDC
Land (as-is value)	14.5	14.5%
Construction contract (fixed price)	74.6	74.6%
Capitalised finance costs	5.7	5.7%
Professional fees, approvals and other	5.2	5.2%
Total development cost	**100.0**	**100.0%**

Development budget

Other costs of A$5.2M comprise professional fees, statutory charges, approvals, project management and owner's contingency. The size of the contingency is not separately confirmed in the information provided to us. Selling and agency costs of A$3.1M sit outside TDC. After these, the forecast net profit before tax is A$21.7M, which is 17.4% of GRV and 21.0% of total cost including selling costs.

Funding source	A$M	% of TDC
Senior construction facility	61.0	61.0%
Sponsor equity	39.0	39.0%
Total	**100.0**	**100.0%**

Sources of funds

Sponsor equity of A$39.0M comprises the land at A$14.5M and A$24.5M of further costs, which on the information provided is to be expended ahead of first drawdown. We recommend that Quillwood confirm this through its cost-to-complete review.

The programme provides for a 22-month construction period. With first drawdown in June 2024, practical completion would fall in the first half of 2026, leaving about five months before the September 2026 maturity for settlements. This is workable but tight if there are extensions of time or delays in obtaining occupancy approval.

10. Presales

Measure	Number / value
Apartments contracted	60 of 96
Presales by number and value	62.5%
Contract value (A$M)	78.0
Deposits held in trust (A$M)	7.8
Unsold apartments	36
Value of unsold stock at GRV rates (A$M)	46.8

Presales position at 29 February 2024

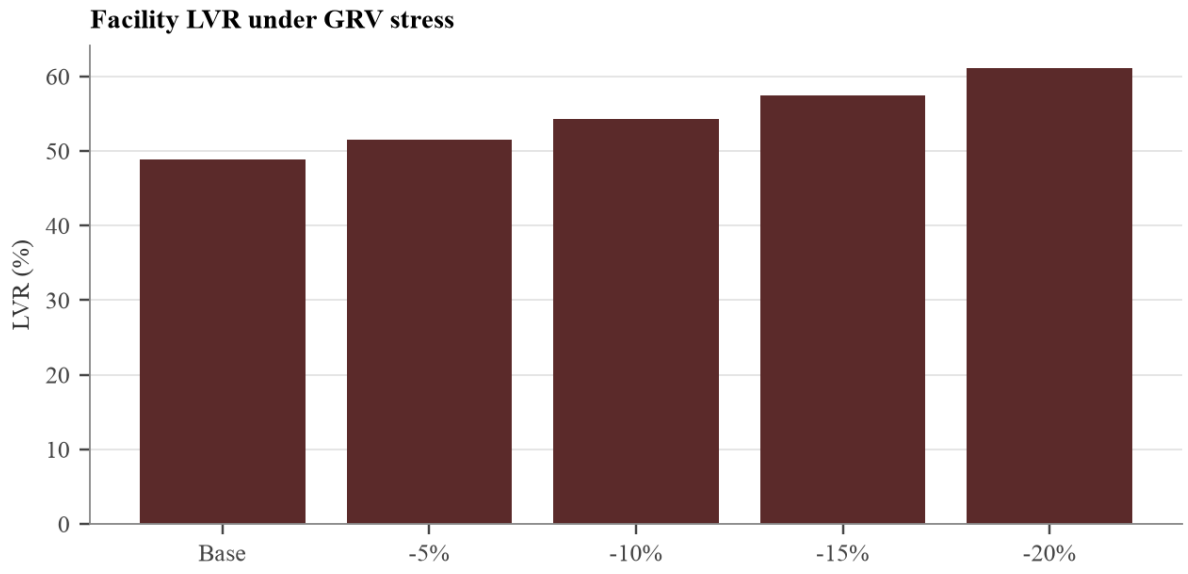
Deposits equal 10.0% of contract value and are held in the solicitor's trust account. Presales cover the facility limit 1.28 times on a gross basis. The 36 unsold apartments represent 37.5% of GRV. If those apartments realised 20% below the adopted values, total realisations would be about A$115.4M and the LVR would be 52.8%.

11. Sensitivity analysis

The table and chart below show the LVR for the A$61.0M facility if the as-if-complete value is lower than our assessment. They do not take account of any change in the facility balance.

Change in GRV	Value (A$M)	LVR
Base case	124.8	48.9%
Minus 5%	118.6	51.5%
Minus 10%	112.3	54.3%
Minus 15%	106.1	57.5%
Minus 20%	99.8	61.1%

LVR under value stress



LVR on A$61.0M facility limit against stressed as-if-complete value

After selling costs of 2.5%, net realisations equal the facility limit only if GRV falls by about 50%. That calculation assumes the building is completed and that sales occur in an orderly manner. It does not allow for completion costs on a failed project, a forced sale discount or enforcement costs. A partially completed building would be worth materially less than the as-if-complete value, so the real protection is greatest once practical completion has been achieved.

12. Key valuation risks

- Pricing risk. The adopted rate is at the upper end of the evidence. A softer market would reduce proceeds on the 36 unsold apartments. Each 5% fall in GRV reduces the forecast profit by about A$6.2M.
- Construction cost and delay. The fixed-price contract limits cost exposure, but builder insolvency or extensions of time could erode the contingency and push completion past the September 2026 maturity.
- Settlement risk. Presale buyers may fail to settle if bank valuations fall below contract prices or serviceability tightens before 2026. Deposits of A$7.8M would provide partial recourse.
- Interest rate risk. The facility is floating rate. For illustration, each 1.00% increase in the rate on an average drawn balance of A$30M over 27 months adds about A$0.7M to finance costs, against a capitalised allowance of A$5.7M.
- Sponsor capacity. Wharfside Developments has two other active projects, which may limit its ability to provide further equity if costs overrun.
- Environmental and site risk. Acid sulfate soil and groundwater management during basement excavation could affect cost and programme.

13. Comments on mortgage security

The security is a first registered mortgage over land with an approved residential development. At first drawdown, the as-is land value of A$14.5M will be supported by sponsor equity, and Quillwood will fund progressively against certified works. The security value rises as construction proceeds, but the value of partly completed works to a purchaser on default is typically well below cost incurred, particularly for a basement and structure not yet complete. We therefore recommend that drawdowns be controlled by independent quantity surveyor certification and that the equity be fully injected before the first facility drawing.

On completion, the lender would hold security over 96 apartments, which allows staged release against settlements. Release prices should be set at a minimum proportion of the facility to maintain the LVR through the sell-down. In our opinion the property is suitable security for a facility of A$61.0M, subject to the matters in Sections 11 and 12 and to satisfactory review of the quantity surveyor's report.

14. Assumptions and qualifications

- This valuation is current at 8 March 2024. Values may change materially with market conditions, and we recommend the valuation be updated if drawdown is delayed beyond three months or before any material variation to the facility.
- We have assumed the development will be completed in accordance with the approved plans and the Corvale contract within budget and programme.
- We have relied on the information provided by the borrower and its advisers, including Harbourline Property Group, Ashgrove Whitlam Lawyers and Tarrant & Lowe Capital Advisory, and have not verified it independently.
- Our values exclude GST and do not allow for the cost of enforcement or any sale under duress.
- We have not carried out a structural, environmental or geotechnical investigation.
- The quantity surveyor's report, due after the date of this valuation, may require us to revise our conclusions.

15. Certification

We certify that we have no pecuniary interest in the property or the borrower, that our fee is not contingent on the value reported, and that the valuation has been prepared in accordance with the standards noted in Section 2.4.

Valuer	Rhys A. Kenmore, Certified Practising Valuer (API), Director, Kinross Hale Valuers (Perth)
Reviewed by	Isabel M. Tran, Certified Practising Valuer (API), Associate Director
Date of valuation	8 March 2024
Market Value, as-is	A$14,500,000
Market Value, as-if-complete	A$124,800,000

Valuer sign-off